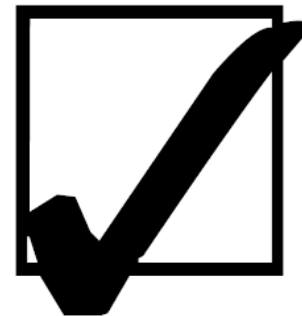


**BUSINESS
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ADVANCED COLLEGE ACCOUNTING (115)

—Post-secondary—

STATE – 2020

Multiple Choice & Short-Answer:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Problems:

Problem 1: Journal Entries/Missing Amounts _____ (62 points)

Problem 2: Capitalized Cost _____ (78 points)

Problem 3: Bank Reconciliation _____ (44 points)

TOTAL POINTS _____ ***(224 points)***

**Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

GAAP

Round to two decimal places unless otherwise instructed

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

Ordinary Interest

Multiple Choice: 2 points each

1. C
2. C
3. C
4. C
5. D
6. C
7. A
8. A
9. A
10. C
11. A
12. D
13. B
14. D
15. A
16. A
17. D
18. A
19. B
20. A

Problem 1 (62 points, 2 points for each T account answer + 8 points per journal entry)

Find the missing amounts in the T accounts and record the adjusting entries for (a) supplies, (b) insurance, (c) depreciation, (d) amortization, and (e) bad debts.

Supplies		Prepaid Insurance		Allow. For Bad Debt	
460		3,040			1,200
4,067	3,927	2,150	2,450	2,275	3,875
600		2,740			2,800
Accumulated Depreciation		Patent		Bad Debt Expense	
	30,140	100,000		3,875	
	11,929		20,000		
	42,069	80,000			
Supplies Expense		Insurance Expense		Depreciation Expense	
3,927		2,450		11,929	
Retained Earnings		Dividends			
	140,650	5,000			
5,000	52,303				
	187,953				

Graders – Each line (or row) is worth four points – two points for the correct account and two points for the correct debit/credit amount. Please note that abbreviations are allowed.

General Journal

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Date	Description	Debit	Credit
a.	Supplies Expense	3,927	
	Supplies		3,927
b.	Insurance Expense	2,450	
	Prepaid Insurance		2,450
c.	Depreciation Expense	11,929	
	Accumulated Depreciation		11,929
d.	Amortization Expense	20,000	
	Patent		20,000
e.	Bad Debt Expense	3,875	
	Allowance for Bad Debt		3,875

Problem 2 (78 Points)**Grader: Each amount and account are worth 2 points each; each date is worth 1 point.**

The following is a list of costs incurred for the purchase of a new piece and a used piece of construction equipment. Determine the cost to be recorded in the financial records and prepare the appropriate journal entries.

New Equipment		Used Equipment	
Purchase Price	\$470,000	Purchase Price	\$170,000
Sales Tax	23,500	Sales Tax	8,500
Special Foundation	48,250	Shipping Charge	6,200
Equipment testing	5,100	Insurance while in shipping	300
Damage at installation	2,000	Reconditioning	3,700
Shipping	8,600	Annual Liability Insurance	1,200

Assume the new equipment was purchased on July 1, 2019. The purchase price was paid with a note payable; all other expenses were paid for with cash. Prepare the journal entry to record the purchase of the equipment and expenses with a 6 month, 8% note payable due on December 31, 2019.

Date	Description	Debit	Credit
July 1	Equipment	555,450	
	Repairs & Maintenance Expense	2,000	
	Note Payable		555,450
	Cash		2,000

Record the payment of the note on the maturity date. (Round to the nearest whole number).

Date	Description	Debit	Credit
Dec 31	Note Payable	555,450	
	Interest Expense	22,218	
	Cash		577,668

Record the first year's depreciation using the double-declining balance method, assuming the salvage value is \$150,000 and the useful life is 6 years (round to the nearest whole number).

Date	Description	Debit	Credit
Dec 31	Depreciation Expense	92,575	
	Accumulated Depreciation		92,575

ADVANCED COLLEGE ACCOUNTING (PS) - STATE 2020**ANSWER KEY****Page 7 of 10**

Assume the used equipment was purchased on March 1 with a cash down payment of 50% and the rest on a 180 day, 6% note payable. Record the entry to purchase the equipment and the insurance policy.

Date	Description	Debit	Credit
Mar 1	Equipment	188,700	
	Prepaid Insurance	1,200	
	Cash		95,550
	Note Payable		94,350

Record the payment of the note on the maturity date. Round final calculations to the nearest dollar.

March = 31 + April = 30 + May = 31 + June = 30 + July = 31 + August = 27 for a total of 180 days.

Date	Description	Debit	Credit
Aug. 27	Note Payable	94,350	
	Interest Expense	2,831	
	Cash		97,181

Record the first year's depreciation using the straight-line method. Assume the salvage value is \$35,000 and the useful life is 48 months. Round final calculations to the nearest dollar.

Date	Description	Debit	Credit
Dec 31	Depreciation Expense	32,021	
	Accumulated Depreciation		32,021

Problem 3 (44 points, 2 points each line description and 2 points each amount)

Chi-Bears Company has the following information regarding their bank reconciliation for May 2020. A note receivable was collected by the bank for \$2,000 + interest, see the note below. There was one check from a customer that was returned as an NSF check and bank fees charged are below. There are no outstanding checks or deposits at the end of May.

Bank Statement:

Beginning Balance: \$32,350.74
 Deposits: \$15,359.76
 Withdrawals: \$12,851.08
 Ending Balance: ?

Deposit Amount	Dated	Deposit Amount	Dated
\$1,645.58	May 6	\$4,996.38	May 13
\$3,889.44	May 20	\$2,775.03	May 27

Additional Addition: Note Collection: \$2,000 note + 4 months interest at 8%

Check #	Withdrawal Amount	Check #	Withdrawal Amount
2518	48.00	2526	2,685.33
2520	157.16	2527	442.80
2523	3,680.20	2528	684.57
2524	388.99	2529	587.24
2525	2,844.02	2530	894.77

Additional Withdrawal: NSF check for \$413.00

Bank Checking Fees: \$25.00

General Ledger Cash Account Detail:

Beginning Balance: \$32,145.58
 Debits to Cash: \$13,306.43
 Credits to Cash: \$12,207.92

Directions: Complete a Bank Reconciliation for May 2020 as well as the adjusting journal entries for the GL Cash account.

Continue to next page...

(32 points)

Chi-Bears Company Bank Reconciliation May 31, 2020	
Bank Statement	
BAND BALANCE	\$38,167.74
DEPOSITS	2,775.03
WITHDRAWALS	(942.77)
ADJUSTED BALANCE	\$40,000.00
General Ledger Cash	
BOOK BALANCE	\$38,384.67
ADDITIONS:	
NOTE COLLECTED	2,000.00
INTEREST COLLECTED	53.33
SUBTRACTIONS:	
NSF CHECK	(413.00)
BANK SERVICE CHARGES	(25.00)
ADJUSTED BALANCE	\$40,000.00

JOURNAL ENTRIES (12 points – 1 point for each account and amount)

Prepare the Adjusting entries for the GL Cash Account

Date	Description	Debit	Credit
May 31	Cash	2,053.33	
	Note Receivable		2,000.00
	Interest Revenue		53.33
	Accounts Receivable	413.00	
	Bank Service Charge Expense	25.00	
	Cash		438.00